

Unemployment Insurance decreases bank deposits as it reduces households' precautionary savings as their income risk is lower

	Dependent Variable: $\Delta \log(\text{County Deposit})$				
	(1)	(2)	(3)	(4)	(5)
$\Delta \log(\text{UI Benefit})$,	-0.053***	-0.054***	-0.055***	-0.055***	-0.056***
State	(0.015)	(0.015)	(0.015)	(0.015)	(0.015)
$\Delta \log(\text{Income})$,			0.036**	0.035**	0.037**
County			(0.014)	(0.014)	(0.014)
<u>Controls & Fixed Eff:</u>					
Unemp.	N	N	N	Y	Y
cubic(Unemp.)	N	N	N	N	Y
Pair $\times$ Year FE	Y	Y	Y	Y	Y
County FE	N	Y	Y	Y	Y
Obs.	36,596	36,596	36,596	36,596	36,596
R ²	0.557	0.601	0.601	0.601	0.601

Hence, unemployment insurance reduces loan supply, especially SME lending

	Dependent Variable: $\log(\text{new lending})$			
	(1)	(2)	(3)	(4)
$\Delta \log(\text{UI Exposure})$, Bank	-0.022** (0.010)	-0.023** (0.010)	-0.026** (0.010)	-0.024*** (0.009)
<u>Controls & Fixed Eff:</u>				
Bank controls	N	N	Y	Y
Bank exposures	N	N	N	Y
Bank FE	Y	N	N	N
County $\times$ Year FE	Y	Y	Y	Y
County $\times$ Bank FE	N	Y	Y	Y
Obs.	364,643	364,643	364,643	364,643
R ²	0.396	0.645	0.650	0.654

This, in turn, increases unemployment and reduces wages in counties that are more exposed to unemployment insurance via the banking system

	<i>log(unemployment rate)</i>			$\Delta \log(\text{average wage})$		
	(1) All	(2) County DEF Low	(3) County DEF High	(4) All	(5) County DEF Low	(6) County DEF High
$\Delta \log(\text{UI Exposure}),$ County	0.038** (0.014)	0.025 (0.017)	0.055** (0.021)	-0.007* (0.004)	-0.002 (0.006)	-0.012* (0.007)
<u>Controls & Fixed Eff:</u>						
State $\times$ Year FE	Y	Y	Y	Y	Y	Y
County FE	Y	Y	Y	Y	Y	Y
County bank exposures	Y	Y	Y	Y	Y	Y
County controls	Y	Y	Y	Y	Y	Y
Obs.	35,764	17,966	17,743	35,764	17,966	17,743
R ²	0.921	0.926	0.918	0.164	0.155	0.197